TEACHER GUIDE

OCR A Level Business (H431)

# Market share and segmentation



Marketing
**Customer needs: identifying customers and segmentation; External influences: The market**

A revision lesson. Pupils run a car dealership in firms of four and revise market share and segmentation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Segment revenue

Round 1

Revenue in one segment.

**Dealer's revenue from this segment?**

| | |
|---|---|
| Town's car sales, a year | **£850,000** |
| First-time buyers, % of sales | **30%** |
| Dealer's share of them | **20%** |

**ANSWER**

**£51,000**

30% × £850,000 = £255,000;
× 20% = £51,000

**Why:** The segment is worth £255,000. The dealer takes 20% of it.

## 2 High share benefits

Round 1

A higher market share is your main marketing objective.

**Which two are benefits of a high share?**

- **A** Higher profit is certain
- **B** Less need to control costs
- **C** The market grows faster
- **D** More buying power with suppliers
- **E** Buyers see you as the leader

**ANSWER**

**✓ More buying power with suppliers**
**✓ Buyers see you as the leader**

**Why:** A leader buys better and is trusted, but share does not guarantee profit.

## 3 Rank market growth

Round 2

Three markets, sales last year and this year.

**Order by market growth, fastest first?**

- **A** 20,000 to 21,000 cars
- **B** 8,000 to 8,800 cars
- **C** 2,000 to 2,300 cars

**ANSWER**

**1. 2,000 to 2,300 cars**
**2. 8,000 to 8,800 cars**
**3. 20,000 to 21,000 cars**

**Why:** Growth: 15%, 10%, 5%. The most extra cars is the slowest growth.

# Topic tasks

## 4 Segment next year

Round 2

A growing segment.

**Dealer's revenue from it next year?**

| | |
|---|---|
| Town's car sales, a year | **£500,000** |
| First-time buyers, % of sales | **20%** |
| Segment grows by | **5%** |
| Dealer's share of segment | **10%** |

**ANSWER**

**£10,500**

20% × £500,000 = £100,000; + 5% = £105,000; × 10% = £10,500

**Why:** Find the segment, grow it, then take the dealer's share.

## 5 Did we do well?

Round 3

Your sales rose 10% this year. The market rose 20%.

**Did you keep pace with the market, and why?**

**A** No

**B** Yes

**ANSWER**

✔ **No**

**Why:** Your share fell: rivals took more of the growth than you.

## 6 Cars to hit target

Round 3

Win a bigger share.

**Extra cars needed next year to hit the target?**

| | |
|---|---|
| Town sales this year | **550 cars** |
| The market grows by | **20%** |
| Dealer's sales this year | **44 cars** |
| Target share next year | **10%** |

**ANSWER**

**22 cars**

550 + 20% = 660; 10% × 660 = 66; 66 − 44 = 22

**Why:** The target is a share of next year's bigger market.

# Final questions

Each pupil answers 6 final questions on market share and segmentation. They come from these 14 questions.

1. A service-plan provider targets small delivery firms whose vans each travel more than 30,000 miles a year. Which bases of segmentation are being combined?
   ✔ **Business size and usage rate**

2. A dealership sold 420 of the 6,000 vans sold in its regional market. What was its unit market share?
   ✔ **7%**

3. Annual sales in a used-EV market rose from 48,000 to 60,000 units. What was the market growth rate?
   ✔ **25%**

4. Owners of cars over eight years old respond strongly to fixed-price repair bundles. Which targeting rule uses the evidence most directly?
   ✔ **Target owners of 8+ year-old cars**

5. A town has many small MOT centres, customers can compare prices easily and no centre controls supply. Which market feature is most evident?
   ✔ **A competitive market**

6. Registrations for used electric cars rise from 8,000 to 10,400 in a region. What is the percentage market growth?
   ✔ **30%**

7. Research finds commuters driving 40–70 miles a day with no home charging. Which proposition fits this segment best?
   ✔ **A hybrid offer with charging advice**

8. A price-comparison platform makes dealer prices easier to observe. What competitive effect is most plausible?
   ✔ **Price pressure on similar dealers**

9. A regional dealer sells 1,350 vehicles in a market of 18,000. What is its unit market share?
   ✔ **7.5%**

10. The Sales lead has separate evidence for one-van sole traders and 200-plus vehicle national fleets. Why question one identical proposal?
    ✔ **Their needs and buying power differ**

# Final questions

**11** Regional used EV registrations rise from 1,800 to 2,340 a year. What is the market growth rate?

✔ **30%**

**12** A dealer has identified family, taxi and delivery segments. It now advertises only to delivery firms. What has it done?

✔ **Targeted one segment of the market**

**13** 5,600 vans are sold in a region in a year, and one dealer group sells 728. What is its market share?

✔ **13%**

**14** A dealer's van sales rise from 300 to 345 while the regional market grows from 2,000 to 3,000. What happened to its market share?

✔ **Share fell from 15% to 11.5%: rivals won more new demand**